Corporate Finance (in lingua inglese) - A.A. 2025/2026
Topic 5a: NPV and other investment criteria

1. You can either consider the profits or cash flows of a project of investment to evaluate if it is worth undertaking. Do you agree or not? Explain.

2. When you calculate the net cash flow of a project of investment, you must forecast its cash flows on an incremental basis: why?

3. What do we mean by the statement “separate investment and financing decisions”?

4. Clarify the difference between operating cash flow and net cash flow of a project of investment.

5. Explain the impact of the incidental effects on the cash flow of a project of investment.

6. Elucidate the concept of opportunity cost for a project of investment.

7. What is a sunk cost?

8. The IRR is as good as the NPV as a method for choosing new projects of investment. Do you agree and why?

9. Define the profitability index and explain the context in which it is useful.

10. Draw and clarify the notions of NPV and IRR of a project of investment.

11. Describe the main drawbacks of the payback period.

12. You are a financial manager, and you have a certain number of possible valuable investments to develop (that is positive-NPV projects). Before undertaking them, what else should you decide?

13. Comment on this statement of a financial manager: “Among our activities, we have the product *New experience* which has generated very high cash flows, therefore next year we will invest in a new plant in Canada, to increase that production”.

If you need help, please revise Chapters 5 and 6 of the textbook.